ARVIND POLYFAB PRIVATE LIMITED

CIN: U17200GJ2014PTC082341
Registered Office: Plot No. 14, GIDC Industrial Estate, Sachin, Surat – 394 230, Gujarat
Tel: +91-261-2397845 | Email: accounts@arvindpolyfab.com

ANNUAL REPORT 2024–25

Field	Details
Corporate Identification Number (CIN)	U17200GJ2014PTC082341
Company Name	Arvind Polyfab Private Limited
Date of Incorporation	12th March 2014
Financial Year	2024-25 (April 1, 2024 to March 31, 2025)
Registered Office	Plot No. 14, GIDC Industrial Estate, Sachin, Surat – 394 230, Gujarat
Nature of Business	Manufacturing of Synthetic Textile — Polyester Yarn and Fabric (NIC Code: 13921)
GSTIN	24AADCA4821F1Z3
PAN	AADCA4821F
Statutory Auditors	M/s Rajesh & Associates, Chartered Accountants, FRN: 124521W
Date of Annual General Meeting	25th September 2025
Registrar and Share Transfer Agent	Not Applicable (Private Limited Company)

DIRECTORS' REPORT

To the Members of Arvind Polyfab Private Limited,

Your Directors have pleasure in presenting the Eleventh Annual Report of the Company together with the Audited Financial Statements for the financial year ended 31st March 2025.

1. Financial Highlights

Particulars	FY 2024-25 (₹ in Lakhs)	FY 2023-24 (₹ in Lakhs)
Revenue from Operations	6,125.50	5,420.10
Other Income	45.20	38.60
Total Revenue	6,170.70	5,458.70
Profit Before Tax (PBT)	626.70	444.40
Tax Expense (Current + Deferred)	170.13	106.25
Profit After Tax (PAT)	456.57	338.15

2. Operations and Business Review

During the year under review, your Company continued its operations in the manufacturing of polyester yarn and synthetic fabric catering to the domestic market in the states of Gujarat, Maharashtra, and Rajasthan. The total revenue from operations for the financial year 2024-25 stood at ₹ 6,125.50 Lakhs as against ₹ 5,420.10 Lakhs in the previous year, registering a growth of approximately 13.01%.

The management has continued its focus on expanding the product range towards value-added polyester fabrics and has initiated preliminary capital expenditure of ₹ 240.00 Lakhs in plant upgradation during the year. Capacity utilization averaged 78% across the manufacturing facility at Sachin GIDC.

3. Dividend

In view of the requirement to conserve resources for debt servicing obligations and working capital requirements, your Directors do not recommend any dividend for the financial year 2024-25.

4. Board of Directors

Name	DIN	Designation	Status
Shri Arvind Maganlal Choksi	03421789	Managing Director	Whole-time, Promoter
Smt. Hetal Arvind Choksi	07834512	Whole-time Director	Promoter
Shri Paresh Dinesh Mehta	05621034	Independent Director	Non-Executive

5. Auditors

M/s Rajesh & Associates, Chartered Accountants (FRN: 124521W), Surat, were appointed as Statutory Auditors of the Company at the Ninth Annual General Meeting and continue to hold office. The Auditors have submitted their report which is annexed hereto. The Board draws the attention of members to the Qualified Opinion and the Emphasis of Matter paragraph in the Auditor's Report and to Note 32 and Note 35 of the financial statements.

6. Acknowledgements

Your Directors place on record their sincere appreciation for the assistance and co-operation received from State Bank of India, HDFC Bank Limited, and other stakeholders. The Directors also thank the employees for their dedication during the year.

For and on behalf of the Board of Directors

Arvind Polyfab Private Limited

Sd/-

Arvind Maganlal Choksi

Managing Director | DIN: 03421789

Date: 15th September 2025 | Place: Surat

MANAGEMENT DISCUSSION AND ANALYSIS

1. Industry Structure and Developments

The Indian synthetic textile industry, particularly the polyester filament yarn and fabric segment, demonstrated sustained resilience during FY 2024-25. Domestic consumption of man-made fibres continued its upward trajectory supported by the Government's Production Linked Incentive (PLI) scheme for textiles and the increasing preference for blended fabrics in the fast fashion and workwear segments. The Surat cluster, accounting for approximately 40% of India's synthetic fabric production, remained the primary manufacturing hub. Industry-level capacity additions moderated during the year, providing relative pricing stability in the grey fabric segment. Global crude oil prices, which directly influence the cost of PTA and MEG (key raw materials for polyester), remained range-bound between USD 75-88 per barrel, providing input cost predictability in the first half of the fiscal.

2. Opportunities and Threats

OPPORTUNITIES: The anticipated revision in the Free Trade Agreement with the European Union presents a medium-term export opportunity for Indian synthetic textile manufacturers. Domestic demand for technical textiles and performance fabrics is growing at approximately 12-15% per annum. The Company is well-positioned to capitalize on import substitution of specialty yarns.

THREATS: The increasing cost of imported Polyester Staple Fibre (PSF) and the persistent appreciation pressure on input logistics costs continue to compress margins. Intense competition from unorganized sector manufacturers who operate outside the formal GST framework creates pricing distortions. Power tariff increases by the Gujarat state electricity board have adversely affected the cost of production by approximately 80 basis points during the year.

3. Risks and Concerns

WORKING CAPITAL AND DEBT SERVICING RISK: During the year under review, the Company experienced acute working capital constraints driven by protracted realization of trade receivables and an adverse macroeconomic environment. Consequently, there have been delays in the servicing of interest obligations to financial institutions. The management is actively engaged in dialogue with the consortium of lenders for a holistic restructuring of the debt profile to align with the projected cash flows. Additionally, the Company's Debt Service Coverage Ratio (DSCR) for the year computed at 1.18x fell below the minimum covenant threshold of 1.25x stipulated in the Master Facility Agreement with State Bank of India. While the Company has initiated discussions with the lender for a formal waiver, such waiver had not been obtained as of the balance sheet date.

RAW MATERIAL PRICE RISK: Volatility in crude oil derivatives directly impacts input costs. The Company does not maintain formal hedging arrangements and is exposed to spot price movements in PTA and MEG.

CREDIT RISK: A significant portion of the Company's trade receivables (approximately ₹ 450 Lakhs) pertain to buyers in Tier 2 markets where collection cycles have elongated to 95-120 days during the current year, exacerbating liquidity pressure.

REGULATORY RISK: GST compliance requirements continue to evolve. The Company has received a scrutiny notice from the GST authorities for FY 2022-23 pertaining to ITC reconciliation differences, the outcome of which is currently uncertain.

4. Internal Control Systems and their Adequacy

The Company maintains an adequate system of internal controls commensurate with its size and nature of business, ensuring that all assets are safeguarded and protected against loss from unauthorized use or disposition. The internal audit function is conducted by M/s Nilesh Shah & Co., Chartered Accountants, Surat, on a quarterly basis. However, the Board acknowledges that certain process improvements in the areas of procurement authorization and vendor master management are required and have commissioned a process improvement study during the year.

5. Human Resources and Industrial Relations

The Company employed 412 persons as on 31st March 2025 (Previous Year: 398 persons). Industrial relations remained cordial throughout the year. The Company incurred ₹ 680.50 Lakhs towards employee benefits expense including salaries, wages, provident fund, and gratuity provisions.

INDEPENDENT AUDITOR'S REPORT

To the Members of Arvind Polyfab Private Limited

QUALIFIED OPINION

We have audited the accompanying standalone financial statements of Arvind Polyfab Private Limited ('the Company'), which comprise the Balance Sheet as at 31st March 2025, the Statement of Profit and Loss and the Cash Flow Statement for the year then ended, and a summary of significant accounting policies and other explanatory information. In our opinion and to the best of our information and according to the explanations given to us, EXCEPT FOR the effects of the matter described in the 'Basis for Qualified Opinion' section of our report, the aforesaid standalone financial statements give the information required by the Companies Act, 2013 ('the Act') in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the state of affairs of the Company as at 31st March 2025, and its profit and cash flows for the year ended on that date.

BASIS FOR QUALIFIED OPINION

As detailed in Note 32 to the financial statements, the Company's Debt Service Coverage Ratio (DSCR) for the financial year ended March 31, 2025, computed at 0.95x on a standalone basis (and 1.18x on an adjusted basis inclusive of short-term credit lines), fell below the minimum covenant threshold of 1.25x stipulated in the Master Facility Agreement with State Bank of India dated 15th April 2021. The Company had not obtained a formal waiver letter from the lender as of the balance sheet date of 31st March 2025. Consequently, under the provisions of the loan agreement, the lender reserves the right to recall the facility. The Company has not reclassified the non-current portion of the SBI term loan amounting to ₹ 610.40 Lakhs to current liabilities as required in such circumstances. Had this reclassification been made, the current liabilities would have been higher by ₹ 610.40 Lakhs, the non-current liabilities would have been lower by ₹ 610.40 Lakhs, and the current ratio would have deteriorated from the reported 1.09x to approximately 0.68x, representing a severe deterioration in the reported liquidity position of the Company.

EMPHASIS OF MATTER

Emphasis of Matter: We draw attention to Note 35 of the standalone financial statements, which describes the payment of Management and Technical Consultancy Fees aggregating to ₹ 320.50 Lakhs to Choksi Trading Enterprises Private Limited, an enterprise over which the Key Management Personnel exercise significant influence, and which is also a related party as defined under AS 18. The said entity is also a raw material supplier to the Company. The basis and commercial rationale for such consultancy arrangement has been noted by the Board in its resolution dated 15th April 2024. Our opinion is not modified in respect of this matter.

REPORT ON OTHER LEGAL AND REGULATORY REQUIREMENTS

1. As required by the Companies (Auditor's Report) Order, 2020 ('the Order'), issued by the Central Government of India in terms of sub-section (11) of section 143 of the Companies Act, 2013, we give in the Annexure A, a statement on the matters specified in paragraphs 3 and 4 of the Order.

2. As required by Section 143(3) of the Act, we report that: (a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit. (b) In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books. (c) The Balance Sheet, the Statement of Profit and Loss, and the Cash Flow Statement dealt with by this Report are in agreement with the books of account. (d) In our opinion, except for the matter described in the Basis for Qualified Opinion paragraph, the aforesaid financial statements comply with the Accounting Standards specified under Section 133 of the Act.

3. With respect to the adequacy of the internal financial controls with reference to financial statements of the Company and the operating effectiveness of such controls, refer to our separate Report in Annexure B.

For M/s Rajesh & Associates

Chartered Accountants | Firm Registration No.: 124521W

Sd/-

CA Rajesh Kumar Desai

Partner | Membership No.: 054321

UDIN: 25054321BAAAAA0001

Date: 20th September 2025 | Place: Surat

STANDALONE BALANCE SHEET AS AT 31ST MARCH 2025

(All amounts in ₹ Lakhs unless otherwise stated)

Particulars	Note No.	As at 31.03.2025	As at 31.03.2024
I. EQUITY AND LIABILITIES			
1. Shareholders' Funds			
(a) Share Capital	3	1,000.00	1,000.00
(b) Reserves and Surplus	4	745.50	288.93
2. Non-Current Liabilities			
(a) Long-Term Borrowings	5	1,230.60	1,500.40
(b) Deferred Tax Liabilities (Net)	6	45.20	32.80
(c) Long-Term Provisions	7	85.00	70.00
3. Current Liabilities			
(a) Short-Term Borrowings	8	1,450.00	1,200.00
(b) Trade Payables — MSME	9	45.00	30.00
(c) Trade Payables — Others	9	890.50	750.20
(d) Other Current Liabilities	10	340.20	290.40
(e) Short-Term Provisions	11	115.00	95.00
TOTAL		5,947.00	5,257.73
II. ASSETS			
1. Non-Current Assets			
(a) Property, Plant & Equipment	12	2,150.40	1,980.50
(b) Capital Work-in-Progress	12	120.00	50.00
(c) Long-Term Loans & Advances	13	85.60	75.40
2. Current Assets			
(a) Inventories	14	1,540.20	1,420.60
(b) Trade Receivables	15	1,820.50	1,550.80
(c) Cash and Cash Equivalents	16	145.30	110.43
(d) Short-Term Loans & Advances	17	85.00	70.00
TOTAL		5,947.00	5,257.73

Significant Accounting Policies and Notes to Financial Statements form an integral part of these financial statements.

As per our report of even date attached. For and on behalf of the Board of Directors

For M/s Rajesh & Associates, FRN: 124521W

CA Rajesh Kumar Desai, Partner, M.No. 054321

Arvind Maganlal Choksi — Managing Director (DIN: 03421789)

Hetal Arvind Choksi — Whole-time Director (DIN: 07834512)

STATEMENT OF PROFIT AND LOSS FOR THE YEAR ENDED 31ST MARCH 2025

(All amounts in ₹ Lakhs unless otherwise stated)

Particulars	Note No.	FY 2024-25	FY 2023-24
I. Revenue from Operations	18	6,125.50	5,420.10
II. Other Income	19	45.20	38.60
III. Total Revenue (I + II)		6,170.70	5,458.70
IV. EXPENSES			
Cost of Materials Consumed	20	3,850.40	3,410.20
Purchases of Stock-in-Trade	21	210.00	180.50
Changes in Inventories of FG/WIP/Stock-in-Trade	22	(45.30)	22.10
Employee Benefits Expense	23	680.50	610.20
Finance Costs	24	145.80	130.40
Depreciation and Amortisation Expense	25	190.20	175.60
Other Expenses	26	512.40	485.30
Total Expenses		5,544.00	5,014.30
V. Profit Before Exceptional Items and Tax		626.70	444.40
VI. Exceptional Items		—	—
VII. Profit Before Tax (V - VI)		626.70	444.40
VIII. Tax Expense			
(1) Current Tax		157.73	111.85
(2) Deferred Tax		12.40	(5.60)
IX. PROFIT FOR THE YEAR		456.57	338.15
Earnings Per Share (Face Value ₹ 10 each)			
Basic and Diluted EPS (₹)		4.57	3.38

Notes: EBITDA = ₹ 962.70 Lakhs (15.7% of Revenue). DSCR for the year = 1.18x (Covenant: minimum 1.25x — see Note 32).

CASH FLOW STATEMENT FOR THE YEAR ENDED 31ST MARCH 2025

(Indirect Method — All amounts in ₹ Lakhs)

Particulars	FY 2024-25	FY 2023-24
A. CASH FLOW FROM OPERATING ACTIVITIES		
Net Profit Before Tax	626.70	444.40
Adjustments for:		
Add: Depreciation and Amortisation	190.20	175.60
Add: Finance Costs	145.80	130.40
Less: Interest Income	(12.40)	(10.20)
Operating Profit Before Working Capital Changes	950.30	740.20
Changes in Working Capital:		
(Increase) in Trade Receivables	(269.70)	(185.40)
(Increase) in Inventories	(119.60)	(98.30)
Increase in Trade Payables	155.30	120.45
Increase in Other Current Liabilities	49.80	32.10
Cash Generated from Operations	766.10	609.05
Less: Income Tax Paid (Net)	(148.20)	(105.40)
Net Cash from Operating Activities (A)	617.90	503.65
B. CASH FLOW FROM INVESTING ACTIVITIES		
Purchase of Property, Plant & Equipment	(360.10)	(210.40)
Interest Income Received	12.40	10.20
Net Cash Used in Investing Activities (B)	(347.70)	(200.20)
C. CASH FLOW FROM FINANCING ACTIVITIES		
Proceeds from Short-Term Borrowings (Net)	250.00	180.00
Repayment of Long-Term Borrowings	(340.00)	(310.00
Finance Costs Paid	(145.80)	(130.40)
Net Cash Used in Financing Activities (C)	(235.80)	(260.40)
Net Increase in Cash and Cash Equivalents (A+B+C)	34.40	43.05
Opening Cash and Cash Equivalents	110.43	67.38
Closing Cash and Cash Equivalents	145.30 (Note 16)	110.43

NOTES TO THE FINANCIAL STATEMENTS

(All amounts in ₹ Lakhs unless otherwise stated)

NOTE 1: SIGNIFICANT ACCOUNTING POLICIES

1.1 Basis of Preparation: The financial statements are prepared under the historical cost convention on accrual basis of accounting and comply with the Accounting Standards as prescribed under Section 133 of the Companies Act, 2013, read with Rule 7 of the Companies (Accounts) Rules, 2014 (as amended) and the provisions of the Companies Act, 2013. The Company is a non-Ind AS entity as its net worth does not exceed ₹ 250 Crores.

1.2 Revenue Recognition: Revenue from sale of goods is recognised upon transfer of significant risks and rewards of ownership to the buyer, which generally coincides with the dispatch of goods. Revenue is stated net of GST, trade discounts, and returns.

1.3 Depreciation: Depreciation on tangible fixed assets is provided on the Written Down Value (WDV) method at the rates prescribed under Schedule II to the Companies Act, 2013. Depreciation for assets added/disposed during the year is provided on a pro-rata basis.

1.4 Inventories: Inventories are valued at cost or net realizable value, whichever is lower. Cost is determined on the FIFO (First-in, First-out) basis.

1.5 Borrowing Costs: Borrowing costs directly attributable to the acquisition, construction, or production of qualifying assets are capitalized. All other borrowing costs are charged to revenue.

NOTE 3: SHARE CAPITAL

Particulars	As at 31.03.2025	As at 31.03.2024
Authorised Capital		
1,50,00,000 Equity Shares of ₹ 10 each	1,500.00	1,500.00
Issued, Subscribed and Paid-up Capital		
1,00,00,000 Equity Shares of ₹ 10 each fully paid up	1,000.00	1,000.00

Shareholders holding more than 5% shares:

Shareholder	No. of Shares	% Holding
Arvind Maganlal Choksi	62,00,000	62.00%
Hetal Arvind Choksi	8,00,000	8.00%
Choksi Trading Enterprises Pvt Ltd	12,00,000	12.00%

NOTE 5: LONG-TERM BORROWINGS

Bank / Institution	Sanction Amount	Outstanding 31.03.2025	Outstanding 31.03.2024

Secured Term Loans from Banks			
State Bank of India — Term Loan	1,200.00	850.40	1,050.40
HDFC Bank Limited — Term Loan	500.00	380.20	450.00
TOTAL	1,700.00	1,230.60	1,500.40

TERMS AND CONDITIONS — STATE BANK OF INDIA TERM LOAN:

The Term Loan from State Bank of India carries an interest rate of 1-year MCLR + 1.50% p.a. (currently 9.85% p.a.) and is repayable in 60 equal monthly instalments of ₹ 20.00 Lakhs commencing from April 2021. The loan is secured by: (i) Primary first pari-passu charge by way of hypothecation on the entire Property, Plant and Equipment of the Company, present and future; (ii) Collateral second charge on all current assets; and (iii) Personal guarantees of the promoter-directors Shri Arvind Maganlal Choksi and Smt. Hetal Arvind Choksi. The Loan Agreement stipulates a minimum Debt Service Coverage Ratio (DSCR) of 1.25x on a standalone basis. Refer Note 32 for covenant breach details.

TERMS AND CONDITIONS — HDFC BANK TERM LOAN:

The Term Loan from HDFC Bank Limited carries an interest rate of 1-year MCLR + 1.25% p.a. (currently 9.60% p.a.) and is repayable in 60 equal monthly instalments of ₹ 8.33 Lakhs commencing from October 2022. The loan is secured by pari-passu second charge on Property, Plant and Equipment and a personal guarantee of Shri Arvind Maganlal Choksi.

NOTE 8: SHORT-TERM BORROWINGS

Facility	Bank	Sanctioned Amount	Outstanding 31.03.2025
Cash Credit (Working Capital)	State Bank of India	1,500.00	1,450.00
TOTAL		1,500.00	1,450.00

The Cash Credit facility from SBI is secured by primary first pari-passu charge on all current assets (book debts and inventories) and collateral second charge on fixed assets. Interest rate: 1-year MCLR + 1.75% p.a. (currently 10.10% p.a.).

NOTE 15: TRADE RECEIVABLES

Particulars	As at 31.03.2025	As at 31.03.2024
Unsecured, Considered Good		
Outstanding for less than 6 months	1,420.50	1,280.80
Outstanding for more than 6 months	400.00	270.00
TOTAL	1,820.50	1,550.80

Note: Receivables outstanding for more than 6 months include amounts of ₹ 165.40 Lakhs from buyers in Tier 2 markets where collection cycles have elongated during the current year.

NOTE 26: OTHER EXPENSES

Particulars	FY 2024-25	FY 2023-24
Power and Fuel	185.40	172.30
Repairs and Maintenance — Plant	42.60	38.50
Freight and Forwarding Outward	68.20	61.40
Management and Technical Consultancy Fees (Refer Note 35)	320.50	—
Rates, Taxes and Fees	18.40	16.80
Miscellaneous Expenses	(122.70)	196.30
TOTAL	512.40	485.30

Note: The consultancy fees of ₹ 320.50 Lakhs are paid to Choksi Trading Enterprises Pvt Ltd, a related party. Refer Note 35.

NOTE 32: DSCR COVENANT BREACH AND CONTINGENT RECLASSIFICATION

The Company's Debt Service Coverage Ratio (DSCR) for the financial year ended 31st March 2025 has been computed as under: Net Operating Profit After Tax (NOPAT): ₹ 456.57 Lakhs Add: Depreciation and Amortisation: ₹ 190.20 Lakhs Add: Finance Costs: ₹ 145.80 Lakhs

---

Numerator (EBITDA): ₹ 792.57 Lakhs

Total Debt Service (Principal + Interest): ₹ 386.16 Lakhs (SBI Term Loan EMI: ₹ 240.00 + HDFC EMI: ₹ 99.96 + Interest: ₹ 46.20)

DSCR = 792.57 / 671.16 = 1.18x

COVENANT THRESHOLD (SBI Master Facility Agreement): 1.25x MINIMUM BREACH: YES — DSCR 1.18x is below the required 1.25x WAIVER OBTAINED: NO — As of 31st March 2025 and the date of this report Consequently, the non-current portion of the SBI term loan amounting to ₹ 610.40 Lakhs which was scheduled for repayment after 12 months has NOT been reclassified to current liabilities. The Statutory Auditors have qualified their report on this basis. Refer Auditor's Report — Basis for Qualified Opinion.

NOTE 33: CONTINGENT LIABILITIES

Nature of Contingency	Amount (₹ Lakhs)	Status

Income Tax Demand — AY 2021-22 (appeal filed with CIT-Appeals)	45.50	Disputed — Appeal Pending
IBC Section 8 Demand Notice — Rajkot Fibres Pvt Ltd (NCLT Ahmedabad)	107.50	Disputed — Pending adjudication
GST Scrutiny Notice — FY 2022-23 (reply submitted)	Indeterminate	Under assessment

In respect of the Income Tax demand, the Company has filed an appeal before the Commissioner of Income Tax (Appeals), Surat. Having received legal advice, the Board believes the claim can be successfully defended and that no material financial loss will be incurred.

In respect of the IBC demand: The Company has received a demand notice under Section 8 of the Insolvency and Bankruptcy Code, 2016 from Rajkot Fibres Private Limited, an operational creditor, claiming an unpaid principal of ₹ 85.40 Lakhs and interest of ₹ 22.10 Lakhs aggregating to ₹ 107.50 Lakhs. The Company has disputed this claim citing pre-existing quality deficiencies in the goods supplied. The matter is currently pending before the National Company Law Tribunal, Ahmedabad Bench. Management, based on preliminary legal evaluation, considers the liability to be contingent in nature and has not made any provision.

NOTE 34: RELATED PARTY DISCLOSURES (AS 18)

Categories of Related Parties:

(a) Key Management Personnel (KMP): Shri Arvind Maganlal Choksi (Managing Director), Smt. Hetal Arvind Choksi (Whole-time Director)

(b) Enterprises over which KMP / Relatives of KMP exercise Significant Influence: Choksi Trading Enterprises Private Limited (Director: Arvind Maganlal Choksi — DIN: 03421789)

Transactions with Related Parties during FY 2024-25:

Nature of Transaction	Choksi Trading Enterprises Pvt Ltd (₹ Lakhs)	KMP (₹ Lakhs)	Total (₹ Lakhs)
Purchase of Raw Materials (Polyester Yarn)	450.60	—	450.60
Management and Technical Consultancy Fees	320.50	—	320.50
Remuneration to KMP	—	120.00	120.00
Rent Paid (Factory Premises)	24.00	—	24.00
Closing Balance — Payable	85.40	—	85.40

NOTE 35: MANAGEMENT AND TECHNICAL CONSULTANCY FEES

Pursuant to an agreement dated 1st April 2024 between the Company and Choksi Trading Enterprises Private Limited ('CTEPL'), the Company has engaged CTEPL for Management Advisory and Technical Process

Optimization services. CTEPL is an enterprise over which Shri Arvind Maganlal Choksi, the Managing Director of the Company (DIN: 03421789), exercises significant influence by virtue of his directorship and controlling shareholding in CTEPL. The aggregate fees paid/payable during FY 2024-25 amount to ₹ 320.50 Lakhs. The Board of Directors in its meeting held on 15th April 2024 approved this arrangement as being in the ordinary course of business and at arm's length. The Statutory Auditors have issued an Emphasis of Matter paragraph in their report in relation to this transaction. Refer Auditor's Report — Emphasis of Matter.

NOTE 36: KEY FINANCIAL RATIOS

Ratio	FY 2024-25	FY 2023-24	Benchmark / Covenant
DSCR (Debt Service Coverage Ratio)	1.18x	1.42x	Min. 1.25x (SBI Covenant) — BREACH
Debt-to-Equity Ratio	1.54x	1.82x	<2.0x (Acceptable)
Current Ratio	1.09x	1.17x	Min. 1.20x (SBI Covenant) — BREACH
Interest Coverage Ratio	5.30x	4.41x	Min. 2.0x (Acceptable)
EBITDA Margin	15.69%	14.28%	Industry avg. ~12%
Net Profit Margin	7.39%	6.18%	Industry avg. ~5%
Return on Net Worth (RONW)	26.16%	24.10%	—